03-CV-257164CM1

Willets et al. v. Colalillo

Cote, P.A.J. for the moving party, the defendants and plaintiffs by counterclaim, Colalillo et al.
Book, I. for the responding parties, the plaintiffs and defendants by counterclaim

Reasons

Master Haberman: The Colalillos move to add a defendant by counterclaim. They also seek security for costs. The first part of the motion is not opposed. The order for security for costs is vigorously resisted.

Christopher Willets (Willets) and his father, Rowland Willets (Rowland), are each 50% shareholders in the plaintiff, Chiltern Retail Developments Ltd. Chiltern operates a retail business and, up until September 2006, occupied space on Queen Street East pursuant to a 6-year lease with the Colalillo defendants. At that time, they vacated the premises.

A dispute arose between this landlord and tenant, resulting in this civil action as well as an application by Chiltern for relief from forfeiture. In this action, the plaintiffs claim damages for, among other things, conspiracy and infliction of mental distress. They allege that the Colalillo defendants and other defendant tenants acted in concert to force them out of the premises before the expiry of the lease term so that Colalillo could take advantage of a development opportunity. The plaintiffs cite a litany of events that they categorize as being part of a "campaign of harassment and intimidation" designed to trigger their surrender of the lease. The Colalillos have counterclaimed. They deny the plaintiffs' assertions, stating that Willets and his father intimidated them and their other tenants. They seek damages for harassment, intimidation and intentional infliction of mental distress.

In essence, each side is accusing the other of having been the catalyst of what has become an intolerable situation. Clearly, credibility will be a significant issue at trial.

BACKGROUND

The parties went to mediation in January 2004. That event culminated in a memorandum of settlement that reflected what the parties had agreed to. Among the terms of the agreement were payment of $25,000 by John Colalillo (Colalillo) to Willets, an extension of the lease term and a further option to lease on its expiry. The day after the mediated settlement was reached, Colalillo advised his counsel that his consent to this agreement had been procured by threats of criminal charges made by Willets when the two men met on their own during the mediation process. As a result, Colalillo was not prepared to honour what he had agreed to.

Willets was intent on enforcing the settlement and moved for judgment. This motion was initially returnable in March 2004 but adjourned as a result of a myriad of preliminary issues raised by each of the parties in turn. The most significant involved a motion by the Willets to exclude evidence, which was not successful. These matters delayed the hearing of the motion for judgment by approximately two years. In the end, that motion was dismissed in July 2006.

In their submissions in response to Colalillo's request for the costs of the preliminary motions and main motion for judgment, Willets asserted that the plaintiffs were impecunious. Nordheimer J. ultimately ordered that the defendants were entitled to costs, fixed at $21,178.69, but payable in any event of the cause. The cost order was released in late August 2006.

These events also resulted in a series of criminal charges against Willets, as it appears the threats he made included a threat of criminal prosecution in the event that Colalillo did not agree to the settlement terms he was proposing. Willets ultimately pleaded guilty to what he refers to as "reckless harassment", likely criminal harassment.

In the interim, Chiltern commenced its application in 2004. As that matter was dormant for some period of time, Colalillo moved to dismiss the application for delay in 2006. The motion was initially resisted by Willets, who brought a cross-motion to consolidate the application with this action. In late November 2006, Willets capitulated and consented to a dismissal of the application. Low J. ordered the costs of the application to be assessed on a substantial indemnity basis and paid by the Willets group to Colalillo. The assessment has not yet occurred.

Plaintiffs' counsel confirmed that the Willets et al. did not seek any indulgence with respect to the costs of the motion and cross-motion on the basis of impecuniosity, though it was dealt with only a few months after the costs of the motion to enforce the settlement.

ADDITION of 170

The Colalillos seek to add 1705736 Ontario Ltd. as a defendant by counterclaim. They claim that Chiltern has transferred its assets to that company to escape the cost ramifications of this action and the possibility of having to pay damages on the counterclaim. In essence, they assert that the creation of 170 and surrounding events constitutes a fraudulent attempt to shelter assets and ensure they are protected in the event that the Colalillos' position in this action prevails.

The facts in support of this are as follows: The action was started by Willets and Chiltern, operating as "Girlplay" and "Storyville". Although Rowland is a 50% shareholder in Chiltern and the partner who generally deals with the business end things, he was not named as a co-plaintiff in this action. Rowland owns a home. His son, Willets, apparently does not.

Corporate searches reveal that "Girlplay", in fact, is a business name registered by Willets, not by Chiltern, although Willets maintained when cross-examined that this must have been done in error. "Storyville" was simply the name of the store that Chiltern operated at the Queen Street East location. In September 2005, Chiltern registered a business called “The T-Shirt Guys”.

On July 20, 2006, Rowland incorporated 1705736 Ontario Ltd. (170). Willets is neither an officer nor a director of 170 and appears to own no shares in this new entity. The day after it was incorporated, 170 registered the business name, “T-Shirt Guys”, a name almost identical to the business being operated by Chiltern. According to the corporate filings, the business purpose of “The T-Shirt Guys” is “silk-screening T-shirts for retail”, whereas “T-Shirt Guys” was set up for “silk screening T-shirts”.

The timing of these events is curious. Nordheimer J. dismissed the plaintiffs’ motion for judgment on July 5, 2006, only two weeks before this corporate activity. At that time, he invited the parties to make written submissions to him in the event they were unable to agree on costs. In view of the result on that motion and of the preliminary motions, the costs of which had been deferred to the judge, it would have been apparent to the plaintiffs that they would likely be saddled with a large cost order. Rowland was not a named plaintiff so he had no need to be concerned on a personal level. Chiltern and Willets, however, were in a different position. On that basis, the Colalillos assert that 170 was formed as a vehicle into which Chiltern could dump its assets, effectively making it both judgment and cost-proof. They assert that this constitutes fraud and that the only way around it at this juncture is to add 170 as a defendant by counterclaim.

The Willets parties opposed this aspect of the motion, so that both sides devoted time and financial resources to shoring up their positions regarding the issue. Although it appeared at one point that this part of the motion would proceed without opposition, Willets again took up arms to oppose it in his factum. It was only on the return of the motion and after questions from the Bench that the objections were finally withdrawn.

The statement of defence and counterclaim is therefore amended to include 170 as a party, as per attachment “A” hereto.

SECURITY FOR COSTS

The defendants move under subrules 56.01(c) and (d). With respect to (c), they claim there are cost orders in their favour that are outstanding. With respect to (d), they rely on the plaintiffs’ representations before Nordheimer J. regarding their alleged impecuniosity as a basis for concluding that there is good reason to believe that the plaintiffs have insufficient assets in Ontario to pay a cost order in its favour. The motion seeks security for costs from Chiltern, 170 as well as from Rowland and Willets.

The response to the motion is that Chiltern is impecunious and that if either of the two Willets men is required pay anything, it will derail the litigation, as they are unable to do so. The only submission regarding 170 is that as it was not yet a party, no order for security can be made against it. This is easily remedied by staggering the orders and making 170 a party before ordering it to pay security for costs.

The plaintiffs also raise delay in their factum, but no oral submissions were made to that effect. I will therefore deal with it only briefly.

Preliminary issue regarding the plaintiffs' evidence

The parties filed copious materials for this motion, including three motion records from the Colalillos and six from the Willets. Willets' three affidavits are dated March 4, March 25 and September 24, 2007. Willets' last affidavit was filed after he was cross-examined (in April 2007), as were the affidavit from his father (September 25, 2007) and three from Adrienne Cruickshanks, Mr. Book's assistant (May 15, September 27 and October 18, 2007). The last Cruickshanks affidavit was delivered after the motion was scheduled to be heard but adjourned due to my illness.

This piecemeal approach to putting evidence before the court made for an unwieldy record. It also extended the hearing time, as locating particular documents from among so many volumes was not an easy feat. Neither party thought to provide a complete index, which would have facilitated locating materials. To make matters worse, clumps of documents were included as one exhibit and the pages within these mega-exhibits were not numbered, so much time was spent counting forward and back to isolate particular documents. The practice of filing record upon record is one that should be discouraged, particularly after the party filing has already been cross-examined. Although defence counsel initially sought to adjourn the hearing to cross-examine on these more recent affidavits, he abandoned that request when the hearing date arrived.

As counsel were advised at the outset of the motion, I have serious difficulties with the form of evidence tendered by the plaintiffs in response to this motion, as most of it constitutes hearsay. In his second affidavit, Willets makes it clear that his expertise does not extend to the financial dealings of the corporation. He states that his father, Rowland "looks after the business and book keeping aspects of the company" while he "attends to the creative and production matters." He takes up his theme several times during cross-examination, by indicating that he did not know the answer to some fundamental questions about the business and by regularly beginning his responses by indicating that this is what he was told by his father or by simply directing counsel to ask Rowland. In response to question 598, he makes this point as follows:

> *I told you all I ever get when it comes to the financial statements is the occasional synopsis from Ron (Rowland) when we talk about it. I do not want to be the type of person who understands what that is. That's not what I do, so I can't answer your question in regards to that.*

This response was offered when Willets was asked about the activity going through the accounts of Chiltern, of which he is a 50% shareholder. He seemed to know little if anything about the operations of that entity and to the extent that he was able to respond, he cited his father as the source of his knowledge.

Notwithstanding Willets' lack of interest in or acumen for the financial end of things, it is his evidence on which the responding position for this motion largely rests. All of the financial documents and business records that were produced were introduced through his affidavits. Willets' affidavits are peppered with assertions as to what Rowland did and the state of both Rowland's and Chiltern's financial status, as well as his own. When he was cross-examined, however, it was clear Willets didn't understand much of what he had said in these affidavits or about the documents appended to them as exhibits. Several times, he indicated that counsel would have to ask his father as he was unable to respond to a particular question. He denied knowing what Chiltern was earning, despite being a 50 % shareholder and in one instances, he made it known that he had not even read material before including it in his affidavit (see questions 410-413). There is no explanation in Willet's affidavits as to why he, rather than his father, has tendered this evidence.

Willets' evidence is also troubling as it is inconsistent within itself and with other evidence filed by the plaintiffs. By way of example, the plaintiffs filed the expert report of a C.G.A., Renee Karn, to be discussed in more detail below. She states that Chiltern is "in essence" insolvent. It seems Willets was not content with that aspect of her opinion as he strived to qualify it when cross-examined. In response to questions 281 - 291, he states that Chiltern is impecunious but not insolvent. He adds that if Chiltern were insolvent, it would not be able to "afford Mr. Book's representation." When taken to the Karn report and her opinion in that regard, he states that the report states Chiltern is "effectively insolvent" (which is not what she stated), repeating that Chiltern is not insolvent at question 285. He adds later that being effectively insolvent is "a lot different than being insolvent", stating that they are effectively insolvent because all they can afford to do is fund the litigation. In response to question 507, Willets repeats that Chiltern is "effectively insolvent" as though this were part of a script he has learned but really did not understand.

Another area of Willets' evidence that is troubling concerns 170. Although opposition to the motion to add that entity was ultimately abandoned, it remained an issue for some time and featured both in Willets' affidavits and in his cross-examination, as he felt, his counsel advises, that he had to explain away this assertion of fraud. Willets' evidence regarding 170 begins in his first affidavit. He states is paragraph 19 that, "with the failure of Chiltern, my father….incorporated 170, on July 20, 2006, to operate a new silk screening business," and that this business "is not related to the previous business". Despite this alleged lack of relationship, it seems the new business assumed the lease of the silk screening equipment and negotiated a lease of the premises used by Chiltern.

Willets speaks of this again in his second affidavit, sworn only three weeks after the first. This time, he seeks to correct the evidence he gave in first instance, stating that at the time of the first affidavit, he was "under the impression" that 170 was operating a new business, "T-Shirt Guys." He does not indicate that his impressions were not accurate but it appears that he now seeks to add to what he had said earlier. He says that his father was "not present" when he made his first affidavit because of his fall on March 3, which resulted in a separated shoulder and a fractured collar bone. No medical evidence is appended to support that assertion and the term "not present" is not explained.

According to Willets his father reviewed what he said in his first affidavit and told him that in December 2006, after having incorporated the new company, he obtained a retail sales tax number and a vendor's permit in 170's name. After having gone to all of this trouble, Willets says that his father decided to shelve the new company as he wanted to take advantage of the losses that Chiltern had incurred for tax purposes.

Despite Rowland's intentions, it appears from the records that 170 continues as the tenant on its lease or premises and pays the rent with cheques drawn on its own bank account. Those monies come both from sales and from loans from Rowland, Willets tells us. Willets than goes on to say that 170 has no assets other than this bank account which it uses to meet its obligations and from which Chiltern benefits. Again, there is no explanation as to why Rowland is not the one tendering this evidence, as it appears that he is now very much "present" - he provided this information to Willets.

Neither of these affidavits addresses the timing of these events. How is it that the new company happened to be formed so soon after the plaintiffs' unsuccessful motion for judgment, and their exposure to a cost order? Why then and not earlier? This is the basis for the concern expressed by Colalillo, yet no information about the timing is provided. The additional evidence only serves to suggest that Rowland wanted to "have his cake and eat it, too" – it seems he may have been intent on sheltering Chiltern's assets and income while looking for a way to take advantage of its past business losses for tax purposes.

Willets was cross-examined about this in some depth on April 3, 2007. Although he discusses this issue in his affidavit and provides a rational for it, when cross-examined about it, Willets first claimed that he couldn't recall the rational. When confronted with the fact that he had touched on it in his evidence, he responded that his father's rational for incorporating 170 was to "fund the litigation (see questions 97 and 271). At question 107, Willets responds to a question about whether 170 has revenue by stating that the new company was "suspended" and "all rolled back into Chiltern". This is not consistent with what he says in his second affidavit, sworn only a week and a day earlier. His counsel tried to explain this by referring to a letter from the Ministry of Finance, dated April 2. 170's bank statements, however, suggest the company continued to be active, as it reflects funds moving in and out of the 170's bank account thereafter.

Rowland finally filed his own affidavit in late September 2007. This was his opportunity to explain why he failed to do so earlier, and to state that he has reviewed, agrees with and adopts everything or even some of the things that his son stated in his affidavits or on cross-examination. In fact, he does none of these things. Instead, he says that the documents filed by Willets have to be explained. He then goes on to discuss other issues, which I will return to.

All in all, it is difficult to accept much of what Willets says, as he, himself, makes it abundantly clear that he is not qualified to give this evidence and that he has not informed himself to better prepare himself to do so. Rowland was clearly the person in the best position to provide this evidence yet, having failed to do so, he has not adopted what his son has said or explained why he has not dealt with these issues, himself. As a result, to the extent that there is other evidence that is not consistent with what Willets has said, I prefer it over his.

The second area of concern is the Karn report, mentioned above. Willets purports to submit evidence as to the factual context of these events and their impact by reference to an expert report. At paragraph 24 of his first affidavit, he speaks of the report of Renee Karn, C.G.A., suggesting that, after her review of Chiltern's "financial records", she concluded that Chiltern's business had dropped off from May 2003 to present. He refers to a chart, which he presumably prepared using her numbers, to demonstrate this.

The Karn report is problematic in many respects. Karn fails to list the precise documents she reviewed before reaching her conclusions. She also states that the circumstances of the dispute between the plaintiffs and the landlord were explained to her by Willets and Rowland, so to the extent that they quote her, they are doing no more than referring to what they told her. She then says that many of these problems have been documented in the notes to the Chiltern's financial statements. She neglects to add, however, that Rowland was the author of those notes so that this is not a source independent of the plaintiffs. It seems that most if not all of Ms. Karn's information was derived from the Willets in one form or another.

Karn also comments on the impact of SARS on Toronto businesses, presumably to explain the dip in Chiltern's business that preceded these events, though she gives no indication as to her qualifications to offer this evidence.

In the end, Karn concludes that Chiltern's problems are "a consequence of the problems with the landlord", problems she appears to be aware of solely as a result of her conversations with the two Willets men and her review of the notes prepared by Rowland. She ends the report by saying that, in her opinion, the demise of the store was "a direct result of the action of the landlord", which is the precise question the trial judge will have to grapple with to determine whether there is liability here.

Karn also states that Chiltern is "in essence" insolvent and being kept afloat by advances from the shareholders - she uses the plural, suggesting reference to Willets and his father. Willets, however, maintains that his father, alone, loaned funds to Chiltern and in fact, he himself lives off loans from his father. Again, Karn fails to indicate whether there are any documents to support her statement about loans and none have been tendered in evidence on this motion. She also provides no figures when speaking of these loans and no documents at all are appended to Karn's report as support for anything she says. In view of all the foregoing, I am unable to give the report much, if any, weight.

I turn now to the three affidavits sworn by Mr. Book's assistant, a further area of concern. In several places, Ms. Cruickshanks provides evidence based solely on what she was told by Mr. Book, counsel who argued the motion before me. It is trite law that counsel cannot be both a witness and an advocate. Having one's assistant swear an affidavit in which she recites what she was told by counsel does not remove counsel from the evidentiary fray. Again, to the extent that any of what Ms. Cruiskshanks relates she was told by Mr. Book touches on areas that are contentious, I am unable to rely on her evidence.

In her second affidavit, Ms. Cruickshanks provides evidence in a form that constitutes double hearsay, when she recites what Mr. Book told her he was advised by his clients regarding their having done “their every best” to get their records together. It is unfortunate that the plaintiffs failed to use their best efforts in putting their evidence before the court. Ms. Cruickshanks’ evidence is of no value whatsoever on this point.

The final area of concern involves the “exhibit book” tendered by Mr. Book. The book contains documents without the benefit of an affidavit to explain what they are or why they are being put forward. Defence counsel objected and when asked what the book contained and what its purpose was, the reply was not helpful. I therefore ruled that it would be excluded. Mr. Book took no issue with that.

The Law

There is no dispute between the parties as to the basic operation of Rule 56.01. Both agree that the analysis involves two parts. The moving party must first establish that the circumstances referred to in any of the subrules under the Rule appear to exist. If they can do that, the first stage of the inquiry is complete and the onus then shifts to the responding party (see *Hallum v. Canadian Chiropractic College* (1989) 70 O.R. (2d) 45). The motion will not proceed to the second stage unless the moving party satisfies its preliminary onus.

The second stage requires the court to inquire into all relevant circumstances in order to arrive at an order that is just. At this point, all factors that might have a bearing on the justice of the case, including the merits of the action, must be examined. It is open to the court, after having completed this part of the inquiry, to exercise its discretion against making the order sought although the moving party met its initial onus (see *Horvat et al. v. Feldman et al.*, 15 C.P.C. (2d) 220).

The purpose of the Rule must be borne in mind at the second stage of the inquiry. While the mechanism of security for costs was intended to prevent parties from initiating proceedings that are ultimately unsuccessful with impunity from exposure to costs, the Rule was not meant to prevent those with very limited financial resources from having their cases heard and resolved on the merits. There is a balance of interests that must be performed to ensure that the result on a motion of this kind is a fair and just one.

There are effectively three routes open to a party called upon to respond to a motion for security for costs. Where they are able, they can adduce evidence to demonstrate that security is not necessary as they have assets within the jurisdiction or in a reciprocating jurisdiction that can address cost concerns. In such cases, the court must consider the value and marketability of those assets in order to determine if they can be relied on as security down the road. That is not a path chosen here.

Where the facts do not permit that approach, there are still two other paths open to the responding party. First, he can try to show that he is impecunious and that justice demands that he be permitted to continue with his action without having to post security (see *Warren Industrial Feldspar Co. Ltd. v. Union Carbide Canada Ltd. et al.* [1986] O.J. No. 2364).

There is a high burden of proof on a party who asserts impecuniosity to prove it by referring to his financial situation with particularity. This involves a positive obligation to tender detailed evidence demonstrating that he is “impoverished or needy” (see *RCVM Enterprises Ltd. v. International Harvester Canada Ltd.* (1985), 50 O.R. (2d) 508; *Ferguson v. Arctic Transportation Ltd.* (1996) 111 F.T.R. 154). Proof of financial hardship will not suffice, nor will demonstrating that a party lives below the poverty line (see *Mark Doe v. Canada* [2005] F.C.J. No. 705).

As the onus of demonstrating impecuniosity rests on the responding party, failure to adduce the necessary level of evidence to establish it is fatal. The moving party is not required to cross-examine in depth where the evidence itself falls short and should not be penalized for failing to do so (see *Tallarico-Robertson v. Commmunique Group Inc.* [2004] O.J. 1648, upheld: [2004] O.J. No. 4175).

Gaps in the responding party’s financial disclosure will also impede successful reliance on an impecuniosity plea. In *Pritchard v. Avante Solutions Inc.* [2005] O.J. 2718, Master Dash comments on the responding party’s failure to state what is in his bank account or to provide the documents to show the state of his financial affairs. He notes that the responding party also failed to state whether he had assets, aside from what he had referred to as “financial assets”. Finally, the master was concerned about the failure to provide a summary of assets or financial resources or make reference to attempts and ability to borrow. In view of the missing evidence, a finding of impecuniosity was not possible.

Where the responding party is a corporation, the court cannot be asked to refrain from making an order for security for costs based only on the financial circumstances of the corporation. The court must also examine the ability of the corporation’s principals to assist and inquire into the entity’s credit facility. In *Treasure Traders International Co. v. Canadian Diamond Traders Inc.* 2006 O.J. No. 1866, the court held that the responding party had to show that both the shareholders and the management of the corporation were not able to satisfy the order for security for cots and that they were unable to raise the money to satisfy such an order. The rational behind this approach is that the action is initiated for the benefit of the shareholders so they should share in the cost burden.

After reviewing these and other authorities in this area, I concluded the following in *Shuter v. Toronto Dominion Bank et al.,* in action no. 02-CV-224145CM4, released September 6, 2007:

> *It appears from these passages that there is a high evidentiary threshold that must be met before a court can find that a plaintiff is impecunious, and that this threshold can only be reached by tendering complete and accurate disclosure of the plaintiff's income, assets, expenses, liabilities and borrowing ability, with full supporting documentation for each category where available or an explanation where not available. At the very least, this would require an individual plaintiff to submit his most recent tax return, complete banking records and records attesting to income and expenses, and a corporation to submit its last financial statement and current financial projections.*

In other words, a responding party cannot simply assert that they are impecunious and provide the records and information they believe will demonstrate that. The onus is on them to make full and complete disclosure, failing which the plea of impecuniosity will not be factored into the court's deliberations.

Establishing impecuniosity does not automatically result in a dismissal of the motion. The court must still assess the surrounding circumstances to determine the appropriate order that fairness dictates – fairness, of course, as it applies to both sides. This is usually accomplished by examining the merits of the case where that is possible. This is not always an easy feat, particularly where the case, in large part, rests on the credibility of the parties.

There is third path available to a responding party who can neither establish that he has sufficient assets to meet a cost order, nor meet the threshold for showing impecuniousity. The focus, in such instance, tends to rest heavily on the merits, as the responding party must show that, in the circumstances of the case, justice demands that he not be required to post security. Although some flexibility is required when considering the equities between the parties in such instance, it seems, from the case law, that justice will only make such a demand where responding party can show that his claim has a real possibility of success (see *Morton v. HMQ Canada*, 75 O.R. (3d) 63).

Analysis and conclusions

Rule 56.01(c): outstanding cost orders:

As noted, Nordheimer J's cost order was made payable in any event of the cause. Those costs are therefore not due and exigible until after the action has come to a conclusion by judgment or settlement.

Further, Low J's order required that costs be assessed, an event yet to occur.

As a result, neither cost order "remains unpaid" as the Rule requires, as one is not due and the other has not yet been quantified. The motion under this subrule is therefore premature and dismissed without prejudice.

Rule 56.01(d): good reason to believe there are insufficient assets:

This motion has been brought as against Rowland, Willets, Chiltern and 170. It is necessary to examine the circumstances of each in order to determine the exposure of each to the relief sought.

Willets: An order for security for costs under this subrule is available against a corporation or a nominal plaintiff. Willets qualifies as neither. As a 50% shareholder of Chiltern, he has a beneficial interest in the results of the action so cannot be said to be a nominal plaintiff. He also asserts claims on his own behalf (see *Rolmac Construction Co. v. Rio Tinro Mining Co.*, [1961] O.W.N. 269).

Rowland: As is the case with respect to Willets, an order for security for costs is not available against Rowland as he is neither a corporation nor a nominal plaintiff. In fact, he is not a plaintiff at all, as he advances no claim or counterclaim on his own behalf. It is trite law that no one can be required to post security for costs to defend themselves (see *ICC International Compute Consulting & Leasing Ltd. v. ICC Internationale Computer & Consulting GmbH* (1989), 33 C.P.C. (2d) 40). An order for security for costs as against Rowland directly is therefore not available. I note that these grounds of objections regarding Willets and Rowland were not raised by the Willets plaintiffs.

Although neither Willets nor Rowland can be ordered to post security for costs in their own right, the financial circumstances of each remains relevant to the outcome of this motion as against Chiltern, as each owns a 50% interest in the plaintiff corporation. A thorough review of the evidence submitted with respect to the financial circumstances of each of Chiltern, Willets and Rowland is therefore necessary, in the context of the concerns already expressed regarding the difficulty with the form of the evidence.

170: Although a corporation, 170 is not a plaintiff or plaintiff by counterclaim so is not subject directly to an order for security for costs. In view of this entity's relationship to Chiltern, however, its financial situation remains relevant on this motion.

The financial circumstances of the parties

Chiltern: The evidence with respect to Chiltern is all over the map. Karn's report suggests that it is "in essence" insolvent, as the company is surviving from loans from its shareholders. As no documentary support is provided for this comment, it is difficult to know what to make of it. That difficulty is compounded by Karn having relied largely if not solely on what the Willets men told her and from her review of the notes to the financial statements, authored by Rowland.

Despite the Karn report, Willets maintains that Chiltern is not insolvent – impecunious and "effectively insolvent", but not insolvent, which he declares is a very different matter.

Willets states that Karn advised him that the company had a deficit of $171,018 and a shareholder loan from Rowland of $214,439, sourced through the mortgage, as of July 31, 2005. Aside from the fact that this information is more than two-years old, and thus stale dated, it comes in through Willets, who admittedly knows nothing about the financial end of the business, and it is based on what Karn told him, which she, in turn, obtained from him and from his father. In short, this evidence is of little value.

Chiltern's tax returns were provided for 2004, 2005 and, eventually, for 2006 as are the financial statements for the same period. These are not audited and appear to have been prepared by Rowland, who authored the notes.

<u>For the year ending July 31, 2004:</u> In its tax return, Chilterns shows a loss of $91,938, with revenue of $163,623 against operating costs of $158,239. The company still had in excess of $34,000 of inventory on hand at year end. It appears to own machinery and equipment valued at that time at almost $6,000, furniture and fixtures valued at more than $43,000 and "other tangible assets" of $22,279. The value of the tangible assets exceeded the total accumulated amortization by almost $30,000.

The major item claimed as a business is professional fees (legal services) of just over $80,000. In other words, this item represents a large part of the costs that resulted in a business loss for the year. I note that a salary of $8,930 was paid and that a contractor received $1,173, although we have no indication as to the identity of the recipients of these amounts. No records indicting who was on company payroll were produced. In terms of its liabilities, loans from shareholders is shown as $144,433. No supporting documents evidencing these loans have been produced.

From the financial statements for the same period, it appears that the shareholders' loan increased from $62,677 a year earlier. Sales dropped from $230,525 to $163,623 and expenses increased overall largely as a result of higher legal fees. The notes are interesting, as Rowland begins by saying the business underwent a modification two years earlier when it was converted from a gift store to a combination of clothing and gift store. Despite what he calls a steady improvement to business, he also points out that there has been a "continuing difficulty in obtaining the clothing required in practical quantities for a small business." This suggests that there are other factors at play here, aside from problems with its landlord, contributing to the company's financial woes.

<u>For the year ending July 31, 2005</u>:
The year end loss has actually declined from $90,000 to $79,018, although the shareholders' loan has increased to $214,349. Sales dropped a bit, down to $154,200 while costs increased to about the level of the prior year's sales ($165,122). This is largely due to an increase in what was paid in salary ($18,114).

In the notes to the financial statements. Rowland writes that legal costs now total $169,000 but that it would cost more to walk away from the litigation than to continue with it. It is difficult to know what to make of that statement. Despite these problems, a silk screening business was started in May 2004 and, according to Rowland, it "promises to replace the store as the company's core business, selling primarily to gift and clothing retailers".

For the year ending July 31, 2006: In his first affidavit, Willets states that the 2006 tax returns were not yet completed as that they could not afford an accountant to prepare them. In that the financial statements for at least the two prior years were prepared "in-house", as Rowland puts it, it is unclear why Chiltern's inability to retain an accountant became relevant in 2006. In the absence of this tax return, though, Willets quotes his father yet again, this time saying that the company sustained "a substantial loss in 2006 as well."

In his second affidavit, Willets states that Chiltern "continues to be impecunious", although he never made that point earlier.

In his third affidavit, delivered in September 2007, Willets purports to up-date this information. Attached as an exhibit is a document entitled "T-Shirt Guys – estimated Annual Income and Expenses, Year ending 31st of July 2007". Willets does not bother to say who prepared it but says he is advised by his father that the books and records of the company (he does not identify which of the two companies) is reflected in that exhibit.

When one turns to the exhibit, it is immediately clear that the decimals are in the wrong places for many of the figures, so what should be"$29,643.00" is written as "$2,9643." As a result, the calculations are incorrect. Further, it is not entirely clear what the sheet reflects. "T-Shirt Guys" is the operating name of 170, not Chiltern. However, when one turns to the Goods and Services Tax remittance forms on which these numbers are recorded, it appears these numbers pertain to Chiltern.

Using the raw data only, it seems the income net of taxes of 170 was as follows:

- August 1, 2006 – October 31, 2006 $29,643.
- November 1, 2006 – January 31, 2007 $22,969.
- February 1, 2007 – April 30, 2007 $55,470.
- May 1, 2007 to July 31, 2007 $63,116.

These numbers total $171,119, not "$17,1198".

Under expenses, again there is a problem with the decimals, such that legal fees are shown as "$48,00.00. Willets states that the fees incurred were actually $48,000 for this period.

The other oddity about this sheet is that some of the items are noted as "low estimate", some are "incomplete" and some are "correct." These appear beside cost figures, only, and it is unclear why Willets cannot be accurate about these figures when the time frame he discusses was completed almost two months before the affidavit was sworn.

In the end, it is impossible to tell from this sheet if the business is operating at a profit or a loss. What is clear is its income is not insignificant, that it paid wages in excess of $22,600 and that it incurred bank charges of approximately $21,000.

Attached to Willets' third affidavit is Chiltern's tax return for the year end July 31, 2006. The loss has declined again, this time recorded as $70,900. Revenue has increased to $197,656 but expenses appear to have gone up, as well. Interest charges have just about doubled and salaries and wages are up to $33,236, whereas professional fees are down to $31,354. The increase in wages is explained in the notes to the financial statements, where Rowland states that the business required skilled help in the silk screening operation. On cross-examination, Willets talks about the time it took him to learn the silk screening business, again suggesting that he was the recipient of this sum.

In the notes for this period, Rowland indicates that "in the past year sales to retailers and custom work totalled $99,300 and continues to improve." This is an optimistic forecast. Salaries increased and sales appear to be on the rise.

Chiltern's bank statements with TD Canada Trust have been provided from August 31, 2006 up to August 31, 2007. The financial activity of the company appears to have fallen off, presumably as more and more of the business was run through 170's accounts (see comments about 170). The account is not inactive, however, as it still pays the rent on equipment leases and money is still deposited to cover those debts and other payments out.

Willets has also included Chiltern's VISA statements from September 2006 to October 2007 with his last affidavit. The VISA account appears to be in his name for Chiltern and is clearly marked as a business account. Despite that, it appears that Willets may be relying on it for personal use. For example, there are charges reflecting food purchases at Sushi Delight, Swiss Chalet, Timothy's, Loblaws, Sobey's and others. Willets' has even charged his account at LavaLife, a dating service, to the corporate credit card. It also appears that Willets exceeded Chiltern's credit limit on the card on more than one occasion, and the debt is usually around $10,000, the limit on the card

Willets uses a second VISA business credit card, this one in the name of 170. This card has been used to pay for a meal in Stratford. The card, with a zero balance in September 2006, is now running a balance of around $1,000, although the minimum payment due for June 2007 was missed.

In his third affidavit, Willets states that having to respond to motions has financially crippled the company. The motion for judgment and motion to exclude evidence were both, however, initiated by the plaintiffs. They are also the plaintiffs in this action, so initiated these proceedings. It is therefore difficult to reconcile these comments with reality.

Willets also says that he is advised by his father that the "carrying costs of the company including the losses to date have been sourced from the "mortgage on my home, my RIF's and other credit card facilities including credit cards and shareholders' loans." Finally, he states that but for the legal costs, the business could operate "in a break even basis and eventually would become profitable." Most importantly, Willets makes the point of saying that "Chiltern is not insolvent and has been able to meet its daily financial obligations in order to stay in business."

In view of the poor state of the evidence, I am unable to say that Chiltern has established its impecuniosity. While the company may not be thriving, its business affairs appear to be integrally entangled with those of 170 and one or both (it is impossible to distinguish) is clearly making sales and earning income, though perhaps not at a profitable level at this point. There is also concern that Chiltern appears to be funding some of Willets' personal expenses, so that the costs it records are higher than they should be and are not all related to the cost of doing business. These things make it impossible to discern Chiltern's true financial picture.

At the end of the day, the forecast, according to Rowland's notes in the last set of financial statements filed, is optimistic. The company is meeting its obligations and is definitely not insolvent.

Willets: Willets tells us very little about his own situation. All he says in his first affidavit is that aside from a management fee of $14,000 in 2004, which he says he reinvested in the company, he has not drawn any funds from Chiltern since 2003. He says nothing in that affidavit about his assets, his income, his liabilities or expenses. It seems that he was the likely recipient of the salaries reflected in Chiltern's tax returns each year, despite what he later says on cross-examination.

Willets was cross-examined on his first two affidavits and was asked a bit about his personal circumstances. As noted, there is no obligation on Colalillo to fill in the gaps of his evidence but, having chosen to do so to some extent, Colalillo is now bound by whatever evidence his counsel's questions elicited.

When asked about his own tax returns, Willets stated his father prepared them for him and that he seemed to recall being advised by Rowland that he had not done any for him for a couple of years. Even here, he stated that this information would have to be confirmed through Rowland. When asked when he last filed, he said that he left this sort of thing up to his father. This is a rather astonishing comment from a grown man.

Efforts were made during cross-examination to explore Willets' assets. While he admitted that he did not reside with his father, he refused to provide his address so the Colalillos were unable to confirm whether he owned property or rented. His evidence is that he rents, paying $1450 per month, net of Hydro and cable. He says he drives a company car, a 2006 Mazda, which the company leases.

In terms of income, Willets denies receiving anything from the companies but states that since 2003, he has survived on personal loans from his father. No dates or amounts were provided and no supporting documents were produced. This, too, is a rather surprising response from a man who has been in business since 1987. Willets says he has no savings, no RRSP's , GIC's or any form of investment. All he admits to having is a bank account, into which he puts money for his rent. It also raises questions as to how Rowland can support himself, while also advancing loans to the company.

Willets has proven himself to be an unreliable witness with respect to the financial status of Chiltern. What is surprising is that he doesn't seem to have much information about or understanding of his personal financial situation, and could not even explain why he failed to file tax returns. While Willets says he survives on loans from his father, it may well be that the loans were made using Chiltern funds, as evidenced by the salary item that appears each year in Chiltern's tax returns. Willets also appears to help himself to what he needs by using both Chiltern and 170 VISA cards for personal use from time to time.

Overall, I find I am unable to place much store in Willets' evidence regarding anything to do with finances, even when it comes to his personal circumstances. I am therefore not satisfied that he is unable to come to Chiltern's rescue and post security on its behalf, as the case law appears to expect of him.

Rowland: As already indicated, Rowland filed one affidavit, only, in response to the motion. He did so very late in the day and only after Willets was cross-examined. He says nothing at all about his own financial situation and fails to adopt Willet's evidence in that regard. This is what we are told by Willets as to his father's situation:

Expenses and liabilities

a) Secured line of credit - the mortgage: there is a mortgage on his house held by the TD Bank securing a sum of $277,000. There is no evidence as to the value of the house, however, so the court is not able to determine what Rowland's equity in the house is. The mortgage appears to have been taken out with a principal amount of $277,500 in May 2005, almost 2 ½ years ago, to secure a revolving line of credit in Rowland's name. This was an increase of a mortgage that was already on title, securing an advance of $210,000. The bank statement appended as an exhibit (as of January 31, 2007) shows that "T-Shirt Guy" was keeping up the interest payments on that loan, although later on, the source of funds is not identified. More monthly statements were appended to Willets' third affidavit. Interest payments appear to be current and the balance stood at $277,649 at the time of the last statement (July 31, 2007). Willets states that, according to his father, no further funds can be borrowed against that property, although this evidence is hearsay and not supported by an evaluation of the property or letters from any financial institutions refusing further loans;

b) Unsecured line of credit: Rowland has an unsecured line of credit with TD Canada Trust for $15,000. According to the bank statement (January 31, 2007), "T-Shirt Guy" is making the interest payments on this account, as well. A pile of monthly statements for this account were included with Willets' third affidavit. The last is dated July 31, 2007 and shows a balance of just over $13,000. Up until March 2007, interest payments appears to have been made by "T-Shirt Guy" but since that time, all that is reflected is "deposit" without identifying a source. Payment appears to have been up-to-date on that account for the period shown;

c) VISA debt: Willets states that Rowland has an outstanding debt to VISA for $10,000;
d) RBC line of credit: Attached to Willets' third affidavit is a statement from RBC showing $12,000 outstanding on his line of credit with that institution.

Income and assets:
a) real property: As noted, Rowland owns a home, but the court was provided with no evidence as to his equity in the property. There is no indication as to whether Rowland owns any other real property and he has not denied that he does;
b) pension and RIF's: Willets fails to indicate the nature of the pension and how much Rowland receives through his pension and RIF's either monthly or annually;
c) ability to lend money to Chiltern: according to Karn, Chiltern is surviving on loans from it shareholders. As no documentation was provided to substantiate this assertion, no details as to which of the two shareholders provided how much financial assistance and when is available. However, if Rowland is able to lend money to the company, it suggests that he, personally, has the facility to borrow funds when needed.

Attached to Willets' third affidavit are documents pertaining to his father's financial situation. First, we have his notice of assessment for tax year 2006, which shows total income of $75,896 and net/taxable income of $71,941. Tax returns for earlier years were not provided. Then we have Rowland's VISA statements, with a balance of $1,000-$2,000, towards which he generally pays $100 or less per month. There have been no purchases on this card since February so that debt is being paid off.

In his affidavit, Rowland states that "it appears that the presence of bank account statements and other financial documents in the names of both 1705763 Ontario Ltd. Chiltern (sic) require an explanation." He goes on to say that he incorporated 170 to operate a t-shirt printing business to produce stock for Chiltern. This conflicts with Willet's evidence – that the company was set up to "fund the litigation."

Rowland states that any profits made by 170 "were to belong to Chiltern to allow Chiltern to take advantage of losses incurred over the last few years by writing those losses off against possible profits." Having made this statement, Rowland fails to explain how one company was in a position to transfer its profits to another in order to allow the other to carry forward its losses. He does say that the 170 bank account is used as "a vehicle to deposit the proceeds of all our sales" and he wraps up by saying all of 170's GST returns have been submitted in Chiltern's name.

1705736 Ontario Ltd.
As this entity is not a plaintiff or advancing a counterclaim, it cannot be made subject to an order for security for costs. However, as Willets repeatedly says that Chiltern and 170 are one and the same, the financial affairs of 170, like those of Willets and Rowland, must be examined to see if that entity can support a cost order made against Chiltern. In

view of how the two entities have become intertwined, it is my view that 170 is required to assist Chiltern if able.

Here again, the evidence with respect to why 170 came into being and what it does is difficult to follow. It seems that the Willets are treating this entity and Chiltern as if they are one and the same. While Chiltern's income is going down, Rowland tells us in Chiltern's financial statements that the focus of the company is shifting to making its own product and it seems from the evidence that this is being done by 170. It is feasible that that is where the money now sits, as it seems from what Willets has said, that this is the company funding the litigation.

Oddly, no documents at all were initially provided with respect to this entity – no tax returns or financial statements and no bank statements, although the business was incorporated in July 2006. Despite this, in their second motion record, Mr. Book's assistant states that he told her he produced all bank records, corporate and financial and other relevant documents from Willets, Chiltern, Storyville, Girlplay, Rowland, 170, The T-Shirt Guys and T-Shirt Guys.

Aside from the fact that this is hearsay, it is difficult to accept, as, notwithstanding how the parties treat 170, it remains a legal entity separate and distinct from Chiltern. This statement is also inconsistent with Willet's evidence in his second affidavit, where he states that 170 is on the lease as a tenant in their second location and that 170 pays the rent with monies drawn out of its bank account. That account, he says, is funded from sales and loans from his father. No documents are appended to this affidavit to enable a reader to verify this statement. What is clear is that 170 has a bank account and that the work it performs generates sales.

Willets says that 170 has no other assets and that it uses its bank account "to meet its contractual obligations from which Chiltern benefits." Willets, it will be recalled, is not an officer, director or shareholder of this company and relies totally on what his father has told him, so this evidence is of very limited value. Despite his lack of status with this entity, he states that it is impecunious. I am unable to give any credence to Willets' evidence in this regard.

The bank statements finally appears as exhibits to Willets' third affidavit. They run from August 31, 2006 forward for one year and reflect considerable activity. In view of the various gaps in the evidence regarding 170, I cannot conclude that it is impecunious.

In the end, Willets states, in his first affidavit, that an order for security for costs would effectively terminate the litigation as neither he nor his father can afford to post security and carry on with the action and that Chiltern is in the same position. In his second affidavit, he says that an order for security for costs would "terminate the litigation" as neither he, Chiltern, 170 or his father "can afford to post same as a precondition to proceeding with this action." Proving impecuniosity, however, requires far more than bald statements about what someone can and cannot afford to do.

On cross-examination, however, Willets says that 170, though a fledgling business, has the potential to be a profitable company.

On the basis of the evidence that I can accept, it appears that Chiltern, as a corporate entity indistinct from 170, is not impecunious. The latter's sales are increasing and the business has potential. I am also not satisfied that Rowland and Willets have established that they are unable to assist Chiltern. Finally, there is no credible evidence that monies cannot be borrowed to pay an order for security for costs. In the absence of any evidence as to the equity in Rowland's home and no information as to what else he or Willets may own, I am unable to simply draw an inference that neither of the two has any further borrowing capacity.

<u>The order that is just</u>
As Chiltern has not met its onus of demonstrating that it is impecunious, the only course open to it now is to show that, in any event, justice demands that it not be ordered to pay security for costs. The action has not yet gone to examinations for discovery so the only evidence available to assist in reviewing the merits is what the parties have put forward with respect to this motion. In that regard, the plaintiffs' evidence is not helpful, as they have avoided comment about the merits of the case. Further, the evidence they filed with respect to the motion was, in very large part, problematic, as discussed above.

In terms of merits then, the only established facts are that Willets pleaded guilty to what he calls "reckless harassment" following his conduct at mediation and that the plaintiffs discontinued the action against all of the tenants aside from Colalillo, his mother and related entities in January of this year. As a result, it appears the conspiracy-based claims will not be proceeding.

There are other factors that militate against a finding in favour of the plaintiffs. They have approached this motion in a most unusual manner. Although Rowland is the partner with the financial expertise, it appears it was decided to put Willets forward as the witness. By the time of his second affidavit, Rowland, along with Willets, was available to meet with Mr. Book, yet the second affidavit comes from Willets, as well. When Colalillos' counsel raised a concern about Willets as witness, he was assured that Willets had informed himself. That turned out to be far from the truth. Willets was not aware of what he had sworn to in his first two affidavits and had not even read all of the exhibits appended to them before swearing his oath. On occasion, his evidence on cross-examination was not consistent with what he had sworn to in the affidavits. Willets, himself, conceded that he was not the right person to be examined (question 29) and later admitted that he had not sat down to discuss matters with his father "to any great degree" before testifying.

To further exacerbated matters, Willets turned up at cross-examination without any of the documents that Colalillo counsel had asked that he bring along. This, he blurted out to the consternation of his counsel, was the result of what his counsel had advised him to do.

Willets also refused to respond to questions that were clearly relevant when he was cross-examined, such as what Chiltern had paid their counsel to-date. As the plaintiffs took issue with the quantum sought here, referring to it as grossly excessive, and as Willets seemed unable to articulate a basis for his conclusion, at least knowing what he had been prepared to pay may have put that comment in context had the information sought been provided. It was not.

Counsel also refused to advise that efforts had been made to obtain more financing, an area clearly relevant on a motion of this kind.

In addition to the problems with the evidence, there appears to be a basis for serious concern regarding the manner in which the Willets family uses Chiltern and 170. The two entities, though separate and distinct legal entities, have become interchangeable. As Willets says at question 373, for example:

> *We did not keep separate records because there were purchases being paid for by Chiltern, so it all seemed to be one thing."*

Again, at question 461-462, Willets conceded that businesses were operated in a very close relationship, adding that the numbered company never really "took hold." As Willets put it, "it is really one and the same" in reference to Chiltern and 170. This approach is all the more bizarre as Willets is not even a shareholder of 170. This approach has complicated these proceedings considerably.

The timing of the venture is also suspicious. 170 only came into existence shortly after Nordheimer J. dismissed the motion for judgment and shortly before his cost order. While fraud may not have been unequivocally proven, and need not be at this stage, the timing of events certainly sets off alarm bells when coupled with the intermingling of the funds and assets of 170 and Chiltern. The failure to discuss the timing in their evidence is a concern. This is a factor I can and should consider when weighing the equities.

It is also curious that Willets, who appears to have no role at all with 170, has a 170 VISA card. He appears to use it, as well as his Chiltern VISA card, for personal matters, though both are clearly marked "business". Willets also advised when cross-examined that Chiltern paid the legal costs he incurred in defending himself with respect to the criminal charges arising from his conduct at the mediation. This artificially increased that entity's costs. For all intents and purposes, the finances of Chiltern, 170, Willets and Rowland appear to be so intertwined that it is impossible to sort one from the other.

I note as well, that Willets indicates early in his evidence that Chiltern has not yet prepared its 2006 tax return as it can't afford to retain an accountant. On cross-examination, however, he admits that Rowland does the income tax returns for Chiltern, in any event, so the comment is, at best, misleading.

Another factor to consider is the initial opposition to the addition of 170 as a party to these proceedings. It was only after both parties filed considerable evidence dealing with the issue and, in fact during the course of the hearing, that opposition was finally removed.

Finally, in several places in his affidavits, Willets maintains that Chiltern's financial difficulties are in large part the result of unfounded motions initiated by the Colalillo defendants. There have been two significant motions in this action – the motion for judgment and the motion to exclude evidence on that motion. Both were initiated by Willets. In the now defunct application, there was a motion by Colalillo to dismiss for delay. Instead of allowing that matter to proceed without opposition, Willets launched a cross-motion to consolidate the two proceedings before finally letting the application go. The history of these matters simply does not support Willets' contentions that his legal fees have been increased because of the actions of the Colalillos. Rather, it appears that the plaintiffs have initiated a series of expensive and ultimately unsuccessful legal events that have increased costs on both sides and delayed the progress of this matter considerably.

Similarly, the approach taken by Willets et al. on this motion has extended its duration and made it far more complex, confusing and hence, expensive to both sides than necessary. In a motion for security for costs, where one party is seeking an indulgence and asking the court to exempt it from having to post security, this approach will serve to exacerbated the court's concerns about what lays ahead in terms of future costs. It in no way assists a responding party.

The only issue raised by the plaintiffs to deflect a possible order is one of delay, referred to in the Willets' factum but not during oral submissions. Again, the cases are clear. Delay is not, in and of itself, a bar to the order, unless it was unreasonable. In some cases, the courts have gone further and required the responding party to provide evidence that the delay has caused them to suffer prejudice. The evidence of prejudice must take the form of something more than a blanket assertion to that effect, and indicate what the parties might have done differently had the motion been pursued in a more timely fashion. (see *Stepps Investment Ltd. v. Security Capital Corp.*, 2 O.R. (2d) 648).

A review of the cases demonstrates that there is no hard and fast rule as to when a motion for security for costs should be brought, save and except that it should be initiated as soon after discovering basis for it as possible. Here, the issue of impecuniosity was raised by Willets in his submissions on costs to Nordheimer J. in July 2006. This motion was initially scheduled six months later, in January 2007. I am unable to conclude on the basis of this record that this constitutes an unreasonable delay.

ORDER

Accordingly, Chiltern is required to post security for costs. As counsel were advised, my preference in a case at a relatively early stage is to structure the order in "pay as you go" terms.

Costs of $25,293.82 were incurred up to March 2004. This took the action through the pleading stage and the fateful mediation. A further sum of $48,873.88 was incurred in dealing with the motion for judgment and related steps, but this amount has been dealt with by Nordheimer J's cost order and should not form part of this order. Colalillo estimates he will incur further costs of approximately $37,000 until the end of trial. Of that, $4,400 represents the cost of a possible disclosure motion.

In my view, the appropriate order at this time involves posting security of $35,000, with leave to revisit the quantum after the completion of examination for discoveries and discovery-related motions.

It is therefore ordered that:

1) the defendants have leave to add 170 as a defendant by counterclaim to these proceedings, as per schedule "A" attached hereto;
2) Chiltern shall post security for costs to the credit of this action in the amount of **$35,000 with the accountant of the Superior Court of Ontario within 60 days of this order**;
3) In the interim, this action is stayed, save and except for any rights of appeal either side may wish to pursue;
4) If the parties are unable to agree as to the costs of the motion, I am prepared to entertain cost submissions if so requested within 60 days from the date of this order;
5) Items 4 and 5 of the notice of motion are adjourned sine die;
6) The deadline for setting the action down for trial is extended to **the end of December 2008, failing which the action shall be dismissed by the registrar without further notice. If the parties are unable to agree on a new timetable, I can be approached by request in writing to convene a telephone case conference to address same.**

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Master Joan M. Haberman

Heard: October 30, 2007
Released: November 9, 2007